

By Shankkar Aiyar

At first it seems like an idea from the 1970s. From the era of nationalisation. An idea whose time is past, that has become an alibi. Indeed, when L.K. Advani, PM-designate for the NDA, first spoke about it last Sunday, it seemed like a hard weave and dodge to duck the imbroglio involving Varun Gandhi. By April 1 it was an SMS in demand. It seemed the time was just right for the idea of getting stashed loot back to the country. Suddenly the BJP itself woke up to an idea with all the makings of sound political capital.

The idea itself was born of a political imperative and economic circumstance. The political imperative stems from the need for a differentiator in an era when mandates are jigsaw puzzles and the economic circumstance calls for an idea that works both as rhetoric and a promise of a better life. After all, the "estimated" \$500 bn stashed abroad is enough stimulus to resurrect growth and alter the face of India's infrastructure. Sure, the first debate on Swiss numbered accounts featured in Parliament in December 1968 and after two decades of probe and litiga-

"Rs 25 lakh crore belonging to Indians is estimated to be stashed away in Swiss Banks. We will do our utmost to bring this wealth back to India."

SMS from L.K. Advani to voters

LOOT VAULT

■ The amount of funds held offshore globally by individuals is about \$11.5 trillion—with a resulting annual loss of tax revenue of about \$250 bn. Tax Justice Network

■ Global proceeds from criminal activities, tax evasion and corruption is estimated at between \$1 tn and \$1.6 tn per year. UN & World Bank Report, 2007

Minting Political CAPITAL

L.K. Advani's promise to bring back \$500 bn stashed in Swiss Banks strikes a chord on the campaign trail. But it also triggers scepticism, given the poor track record of the political class to deliver.

tion on the Bofors case nobody saw any of the bribe money. The circumstance, though, has changed.

Hope is embedded in the first-of-its-kind action seen in the US. Last September the UBS of Switzerland revealed to the US that it held 47,000 secret accounts for Americans but refused to disclose their identity. Last month, however, after being caught soliciting business, UBS agreed to reveal 250-300 clients and paid \$780 million

in fines. The "plea bargain" was driven by desperation to avoid closure and international sanction. Pressure is mounting globally. British Prime Minister Gordon Brown and German Chancellor Angela Merkel have both stated that there was "no place for tax havens". The days of "bullet-proof" confidentiality are clearly over and Advani's promise is based on this premise.

So, what is the quantum of Indian money in the Swiss banks? What is the

source of the declaration of "between \$500 bn and \$1,400 bn stashed in Swiss accounts"? First a perspective: \$500 bn is India's GDP for six months and \$1,400 bn would be India's GDP for a year and three months or five quarters.

A country-by-country breakdown of accounts in *Die Banken in der Schweiz* published by the Swiss National Bank (the Swiss central bank) in 2007 reveals assets belonging to Indian entities were worth only \$2.5 bn or CHF 2,923 million